

Indexing An investment strategy designed to match the average performance of a market or a group of stocks. Usually this is accomplished by buying a small amount of each stock in a market.

Index Providers Companies that construct and maintain stock and bond indexes. The main providers are Standard & Poor's, Dow Jones, Barclays Capital, Morgan Stanley, Russell, and Wilshire.

Inflation Risk The possibility that increases in the cost of living will reduce or eliminate the returns on a particular investment.

Interest-Rate Risk The possibility that a security or mutual fund will decline in value because of an increase in interest rates.

International Fund A mutual fund that invests in securities traded in markets outside of the United States. Foreign markets present additional risks, including currency fluctuation and political instability. In the past, these risks have made the prices of foreign stocks more volatile than those of U.S. stocks.

Investment Advisor A person or organization that makes the day-to-day decisions regarding the investments in a portfolio. Also called a *portfolio manager*.

Investment Grade A bond whose credit quality is considered to be among the highest by independent bond-rating agencies.

Junk Bond A bond with a credit rating of BB or lower. Also known as a *high-yield bond* because of the rewards offered to those who are willing to take on the additional risk of a lower-quality bond.

Large Cap A company whose stock market value is generally in excess of \$10 billion, although the amount varies among index providers.

Liquidity The degree of marketability of a security; that is, how quickly the security can be sold at a fair price and converted to cash.

Load Fund A mutual fund that levies a sales charge, either when shares are bought (a front-end load) or when they are sold (a back-end load).